

Micron Technology

#Semiconductors #Memory #AI



Price: \$ 981.6

Target Price: \$ 1,600

Upside: 61%

Total return: 61%

Risk: High

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Micron Technology

Bloomberg

RIC

Market cap (USD|bn)

Average daily T/O (USD|bn)

MU US

MU.OQ

1,107.0

33.4

How Much (Memory) is Truly Enough?

We raise our TP to \$1,600, based on 10x CY27E PER, as we shift our valuation framework from historical peak PBR (\$650) to PER. This re-rating reflects our constructive view on sustained AI demand and the surge in memory content across AI hardware systems, resulting in memory vendors' rapid revenue growth and, critically, robust FCF generation—i.e., real earnings. In the near term, we expect memory prices to rise 30–40% QoQ in C3Q26 and HBM ASP to more than double YoY in CY2027. Importantly, memory is becoming the most critical component within AI hardware, with its content value to rise to >70% in CY2027, from mid-40% in CY2025. In certain memory-intensive racks, the memory mix could exceed 90%. We forecast MU's EPS to jump 8.5x in CY27E, followed by a further 1.8x expansion in CY28E. This implies roughly 15x cumulative EPS growth and \$350–400bn of FCF generation in FY26–28E. Key risks: end-market demand, execution, and geopolitics.

Memory prices continue to spike

We now expect server DRAM ASP to jump a further 30% in C3Q26 (vs previous expectation of 10–15%); this is likely to rise by another 10–15% in C4Q26 (same as previous expectation). This means prices could exit C2026 at \$26–27/GB (Figure 1), compared to \$12–13 at the beginning of the year and \$6–7 in C4Q25. On an annualized basis, ASP would be \$20–21 in 2026, up 4.5x YoY. Accordingly, we now expect HBM ASP to double YoY in C2027 as shown in Figure 3, taking into consideration the 3–4x trade ratio and the higher-than-expected server DRAM ASP in C2H26.

Memory content in GPU/ASIC BOM may surge to 70% in 2H27 from 45% in '25

Our analysis shows that memory devices are becoming the most critical components in the AI hardware system as their combined content value are expected to cross over 70% in 2027 vs mid-40% in 2025. For DRAM-intensive device such as Vera CPU, the SoCAAM alone contributes over 70% of BOM in 2H26; the full spec Vera CPU rack could reach a staggering \$26mn ASP per rack. For others such as the BF4 STX Storage rack (KV cache offload) for large-scale agentic AI workload, the memory cost is likely to account for well over 90% of hardware cost. Further, Google's TPU V8 SuperPod could contain \$90mn worth of memory content today but is expected to surge to \$150mn in 2027. Likewise, VR NVL SuperPod's memory budget could easily rise 50% YoY in 2027 to \$45mn, from \$30mn in 2H26.

Rising memory content, improving earnings visibility, and rising cash flow

We believe the significant shift of content value in AI hardware systems in favour of memory devices bodes well for the valuation of memory suppliers. This is reflected not only in their rapid revenue growth but, critically, in their strong cash flow generation. With their current and new capacity being filled by LTA deals, the predictability of future earnings and cash flow are improving considerably. We forecast MU to generate \$350–400bn of FCF in FY26–28E (double-digit FCF yield), setting the stage for major potential capital returns, which in turn should result in the stock being re-rated from historical PBR to PER valuation.

KEY FINANCIAL AND VALUATION METRICS

FYE Aug (US\$ bn)	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	CY25A	CY26E	CY27E
Revenue	27.71	30.76	15.54	25.11	37.38	120.94	253.16	324.74	42.31	161.77	273.78
OPN Profit	7.67	10.28	-4.82	1.94	10.85	89.46	206.64	264.76	14.87	127.63	223.36
Net Profit	6.98	9.48	-4.86	1.47	9.47	76.56	176.93	226.63	12.92	109.27	191.23
EPS (\$), non-GAAP	6.06	8.34	-4.45	1.27	8.29	67.30	156.11	200.55	11.28	96.21	168.86
Consensus EPS (\$)	-	-	-	-	-	63.84	121.20	133.70	-	85.33	125.60
PER (X), adj	162.1	117.7	nm	772.9	118.4	14.6	6.3	4.9	87.0	10.2	5.8
PBV (X)	25.5	22.1	24.3	24.3	20.4	9.3	4.0	2.3	12.8	5.6	2.9
EV/EBITDA (X)	80.6	63.2	366.9	113.6	57.8	10.8	4.4	2.9	46.7	7.4	3.8
FCF yield	nm	nm	nm	nm	nm	3.8%	10.1%	14.3%	-	-	-

Source: Micron, Bloomberg, Aletheia/TAG

Please refer to important disclosures and disclaimers at the end of this report. Investors should consider this report as only a single factor in making their investment decision.

Memory price trend

We expect server DRAM ASP to rise 50% in C2Q26, after nearly doubling C1Q26 on QoQ basis. Because of the ongoing surge in demand for agentic AI workloads, and the corresponding rise in demand for CPU and DRAM, we now expect server DRAM ASP to jump a further 30% in C3Q26 (vs previous expectation of 10-15%) and likely to increase by another 10-15% in C4Q26 (same as our previous expectation). This means prices could exit C2026 at \$26-27/GB, compared to \$12-13 at the beginning of the year and much higher than \$6-7 in C4Q25. On an annualized basis, the average prices would reach \$20-21, up 4-4.5x YoY.

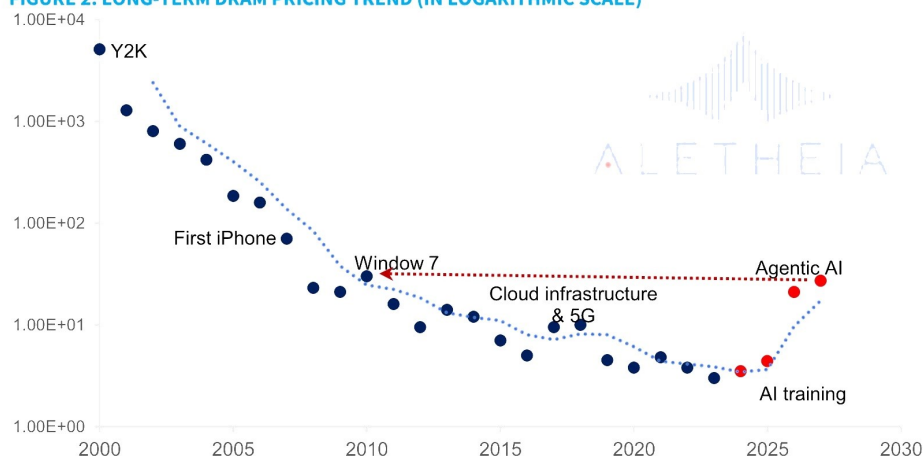
FIGURE 1: ESTIMATED CONTRACT PRICE OF 64GB DDR5 SERVER DRAM

USD	1Q24	2Q24	3Q24	4Q25	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
64GB	\$185	\$220	\$256	\$277	\$265	\$265	\$273	\$425	\$825	\$1,240	\$1,600	\$1,750
QoQ chg.	+20%	+19%	+16%	+8%	-4%	-	+3%	+56%	+95%	+50%	+30%	+10%
YoY chg.	+37%	+59%	+74%	+79%	+43%	+20%	+7%	+53%	3.1x	4.7x	5.9x	4.1x

Source: Market survey, Bloomberg, Aletheia/TAG

We expect the upward price trend to moderate sequentially in CY2027, as DRAM suppliers' capacities are likely to be covered by LTA deals, which should cap the potential upside. Nevertheless, as shown in the figure below, we forecast server DRAM price to exit C2026 at \$26-27 per 1GB, similar to 2009-2010 during the introduction of Windows 7. It is important to note that during that period, consumer electronics accounted for over two-thirds of DRAM market, while the reverse is true in CY2026-2027 for AI/DC. The split for AI/DC could reach an even higher level in the future.

FIGURE 2: LONG-TERM DRAM PRICING TREND (IN LOGARITHMIC SCALE)



Source: Aletheia/TAG

The sharp jump in server DRAM ASP will have an impact on HBM pricing, as the ASP of the former is now 50% higher than HBM3E and on par with HBM4. Negotiation for HBM ASP for C2027 will commence in C3Q26 and we now expect prices to more than double in C2027 as shown in the figure below, factoring in 3-4x trade ratio and server DRAM ASP in C2H26.

FIGURE 3: ESTIMATED ANNUAL HBM PRICES

USD per 1GB	2025	2026E	2027E	2027E ASP per stack ¹
HBM3E	\$14-15	\$12-13	\$27-28	\$1,008
HBM4	NA	\$18-19	\$32-34	\$1,224
HBM4E ¹	NA	NA	\$40-42	\$2,016

1- the density for each HBM4E die is 4GB. So, a 12-Hi stack HBM4E contains 48GB of density. This implies ASP per stack as high as \$2,016 in 2H27. This compares to HBM3E of \$468 per stack in 2026.

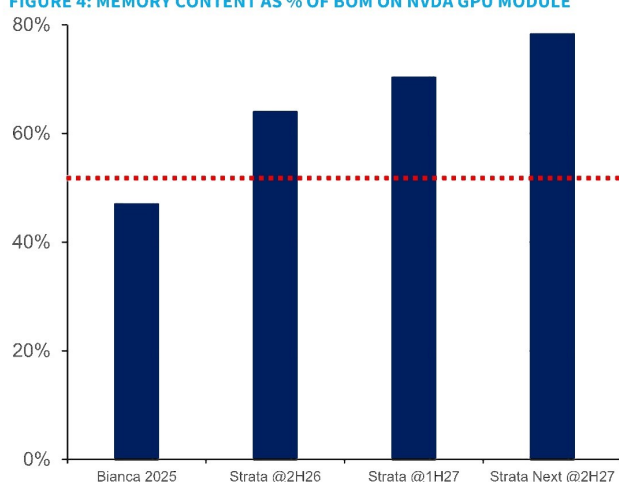
Source: Aletheia/TAG

The impact of the surging memory prices

Cost analysis of NVDA's NVL Compute hardware

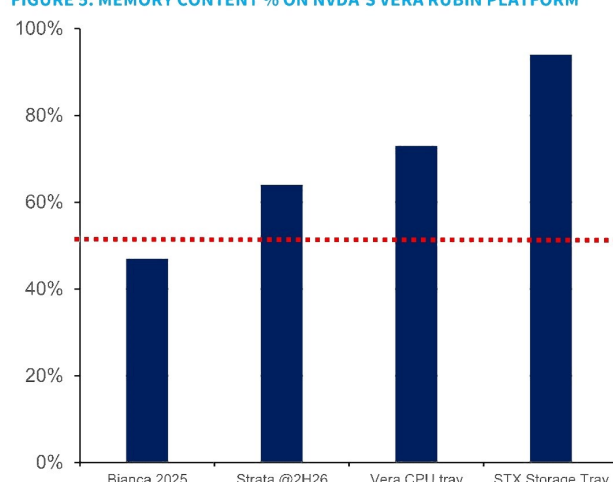
The sharp rise in memory prices is causing a significant shift in the value proposition of AI hardware across the board. Figure 4 illustrates that the memory content for NVDA's Bianca module (Grace Blackwell module) accounted for approximately 45% of the bill of materials (BOM) in 2H25. But the memory budget is expected to increase to 64% in 2H26 on the Strata module equipped with 768GB SoCAAM density; on the full specification of 1.5TB density, this would further jump to 74%. On a YoY basis, the memory content is expected to surge 2.6x (over 768GB SKU) or over 4x (1.5TB SKU).

FIGURE 4: MEMORY CONTENT AS % OF BOM ON NVDA GPU MODULE



Source: Aletheia/TAG

FIGURE 5: MEMORY CONTENT % ON NVDA'S VERA RUBIN PLATFORM



Source: Aletheia/TAG

We note that NVDA intends to offer both the full spec of 1.5TB of Strata module at \$150,000 and a cut-down version of 768GB Strata module at 15% lower price. There is likelihood that the lower density Strata module may have an inferior performance, especially at the multi-current agentic inference workloads; we would discuss this topic in another occasion. It is also worth noting that this study does not include the local eSSD (KV cache) content which locates in the VR NVL72 compute tray rather than the Strata module; otherwise, the overall memory content value would rise even higher. We provide this analysis in the next section.

We should note that prices are likely to go up materially in 2027 (see figure below), as HBM ASP in 2027 will be determined in 2H26. We expect a new round of pricing negotiation for 2027 to begin in 3Q26. In general, we expect HBM prices to double (if not more) in 2027 factoring the 3-4x trade ratio and the higher base of server DRAM prices in 2H26. We further note that the HBM die density in HBM4E would rise to 4GB as compared to 3GB in 3E/4; as a result, we estimate a single stack of 48GB of HBM4E could go for as much as \$2,000 if not more, 4-5x higher than HBM3E in 1H26.

Moreover, while NVDA has been able to secure SoCAAM supply in 2H26 at a relatively attractive level, but it is likely to pay for more as it heads to 2027 for new around of supply negotiation. We believe server DRAM prices are likely to rise by a further 50% YoY in CY2027. As a result, we forecast that the memory content for Strata module is likely to rise to 70% in 1H27 and could possibility top 80% (if not higher) for Strata-Next (Rubin Ultra) in 2H27.

As a result, we estimate the BOM of Strata module (768GB SKU) is likely to rise to ~\$35,000 in 1H27 factor in the anticipated increase in both HBM and SoCAAM ASP starting in 2027. So, at an ASP of \$130,00 per module, NVDA may be able to maintain its mid-70% gross margin.

Our industry survey shows that NVDA may be able to secure two-thirds to three-quarters of its SoCAAM demand (without paying excess price premium) in 2027 and therefore it could be forced to scale back the SoCAAM density without compromising the shipment of Strata modules/VR NVL72 racks, Vera CPU trays/racks, and/or other hardware.

FIGURE 6: ESTIMATED ANNUAL HBM PRICES

USD per 1GB	2025	2026E	2027E	2027E ASP per stack ¹
HBM3E	\$14-15	\$12-13	\$27-28	\$1,008
HBM4	NA	\$18-19	\$32-34	\$1,224
HBM4E ¹	NA	NA	\$40-42	\$2,016

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Source: Aletheia/TAG

Cost analysis of other Vera Rubin platform hardware

We extend our analysis further to Vera Rubin platform's other hardware, more specifically Vera CPU rack and BlueField 4 STX storage rack. For Vera CPU compute tray rack, the cost and ASP could range wildly depending on the SoCAAM density as we demonstrate below:

► For 384GB density, the compute tray is likely to cost \$50,000 per tray (together with LPDDR5X for BF4 DPU). Coupled with the logic device costs and other components, the ASP for each tray could amount to \$275,000 assuming NVDA is able to maintain 75% gross margin. This could imply that the pricing for each Vera CPU rack may top \$9mn, likely more than Vera Rubin NVL72 rack.

► For SKUs with higher density such as 768GB or even 1.5TB, the memory cost alone is likely to top to \$100,000/\$185,000 (using today's ASP of \$15/GB), resulting in prices for a compute tray escalating to \$460,000/\$800,000. This would mean prices for Vera CPU rack might reach the elevated level of \$15mn/\$26mn!

This demonstrates that NVDA is likely to offer more flexible memory options to customers, especially considering that SoCAAM prices are likely to rise further in 2027 (may be up a further 50% YoY). This also leads to the question of whether NVDA will be able to sustain its current business model, that is to double-charge HBM and SoCAAM prices on its NVL platform i.e., charging 70-80% gross margin on memory devices in addition to 80%+ gross margin commanded by its memory vendors!

For the BlueField4 STX Storage, we think the BOM consists of two parts:

► The BF4 compute tray, which includes 2x Vera CPUs (each with 386GB of SoCAAM), 4x BF4 DPUs (each with 128GB of LPDDR5X), and 4x CX9 SuperNICs. The estimated BOM is \$32,500 and NVDA would be selling the module for approximately \$130,000 on 75% margin;

► For the KV-cache eSSD, our case study is based on the ultra-fast SLC, low latency and super long endurance NAND such as Kioxia's XL-Flash ([see our report for detail](#)). We estimate the price to be \$2.5-3 per 1GB, although we note the price for this special-class of eSSD has not been finalized. Early indication from industry research has shown that the ASP is likely to be 6-10x of today's eSSD ASP of \$0.40-0.50 as of 2Q26.

Each storage tray consists of 24 slots of eSSD and each slot would support up to 3.2TB of density. This would mean the budget for eSSD is around \$200,000 per tray. Alternatively, customers may opt for TLC based eSSD for a higher density, but this may come at the expense of latency, speed and endurance. Since SLC has a trade ratio of 3-to-1 over TLC, it is possible to scale up the density to 9.6TB per eSSD slot.

We note that customers who intend to use BF4 STX Storage rack with VR NVL72 rack are responsible for the procurement of the special class of eSSD – likely with Kioxia - and NVDA is unlikely to charge extra margin on this device. Altogether, we estimate the total cost to customer for each storage tray is likely to be \$240,000, and since there are 16 storage trays in each rack, the overall cost would top \$4mn.

Other AI suppliers are facing a similar phenomenon

The rising memory content and budget is not happening only to NVDA; our analysis shows that Google and AMD are likely to face a similar phenomenon. For the upcoming MI455X GPU and Google's new TPU V8i (inference SKU), we estimate the memory content is over 60%. For the former, MI455X is equipped with 12 stacks of HBM4 yielding 432GB of density, 50% higher than VR200 at 288GB in density. This alone would cost ~\$9,000. Each compute tray is packed with 4x MI455X GPU, resulting in HBM4 budget of \$35,000. Besides, the compute tray consists of one Venice CPU, which is paired with 1.2TB of server DRAM, which we estimate to cost \$25,000. As such, the total memory budget for the compute tray is \$60,000 or \$15,000 per GPU.

For TPU V8i, we estimate the 288GB HBM3E would cost over \$4,000 in the compute tray and the server DRAM (Axion2 with 768GB in density) might amount to more than \$12,000. As such, the memory budget for the ASIC could be 70% given the total BOM is around \$23,000-24,000.

FIGURE 7: ESTIMATED 2H26 BILL-OF-MATERIAL FOR GPU/ASIC (NORMALIZED TO A SINGLE DEVICE)

	HBM	DRAM	Logic	Others ¹	Total BOM
Strata module ²	\$5,200	\$12,500	\$6,100	\$3,750	\$27,550
MI455X	\$9,100	\$5,250	\$7,250	\$1,650	\$23,250
TPU V8i	\$4,050	\$12,500	\$3,750	\$2,075	\$23,500

1- others include MLCC, ABF substrate, PMIC and mainboard etc.

2-based on 768GB SoCAAM density and excludes CX-9 NIC.

Source: Aletheia/TAG

More on Vera Rubin Compute Tray

There are 18 compute trays in a VR NVL72 rack and each tray consists of the following modules highlighted below:

► 2x Strata modules, each priced at \$150,000 for the full-spec 1.5TB SoCAAM configuration, or \$130,000 for the 768GB memory module. As shown earlier, we estimate the BOM at roughly \$37,000–38,000 and \$27,000–28,000, respectively, based on current memory ASPs.

► 1x BlueField 4 DPU module, which manages the offload and onload of KV-cache data (freeing up Vera CPU capacity), as well as data transmission in conjunction with the CX9 SuperNIC. The BF4 is built on the Grace CPU core and is equipped with 128GB of LPDDR5X memory and 512GB of onboard local eSSD. Essentially, we view the BF4 DPU as a cut-down version of the Grace or Vera CPU. We estimate that the module could command an ASP of \$12,000–13,000, assuming NVDA maintains a 75% margin on a BOM of approximately \$3,000, with memory content accounting for nearly 70%.

► 2x CX9 SuperNIC modules, each consisting of four CX9 devices. They serve as the high-speed data highway, connecting individual trays to other trays and racks. Essentially, the CX9 works with the BF4 to manage and optimize data transfer, with the former acting as a “monitor” while the latter routes data between GPUs across the system. We estimate that each CX9 module could command an ASP of \$12,000, with a BOM of around \$3,000.

Altogether, we forecast that each Vera Rubin compute tray could cost \$330,000-340,000 for the 1.5TB SoCAAM configuration, with a BOM of around \$85,000, of which memory content accounts for nearly 70% at current memory prices. Even for the lower-spec 768GB memory-density SKU, the compute tray would likely command a market price of nearly \$300,000, with a BOM of \$65,000 or higher, while memory devices would account for 60–65% of total cost.

How much memory is enough?

Google's TPU V8 SuperPod

We analyse the two competing large scale AI hardware i.e., Google's TPU V8 SuperPod and NVDA's NVL SuperPod shown below. We estimate the total memory budget for TPU V8i and V8t SuperPod to be approximately \$12mn and \$90mn, respectively, using \$15/GB for both HBM3E and server DRAM. The much higher BOM for the latter is due to the massive scaling of TPU and Axion2 CPU with over 150 racks, resulting in 9,600 and 4,800 device units respectively. Critically, we believe the spending on memory devices is likely to double (or more) in 2027, as prices of HBM3E and DRAM are set to surge considerably.

While the headline memory budget for TPU V8i SuperPod is materially lower than that of V8t (due to the much smaller scale of the rack number), we believe the actual price that Google has to pay for memory per device is likely to be considerably higher. Similar to NVDA, Google's TPU design partner – AVGO – charges a margin on HBM3E in the TPU V8i ASIC. Assuming a 50% surcharge, the memory budget for TPU V8i SuperPod would rise to \$14mn in 2H26 and nearly \$25mn in 2027. There is no such extra add-on cost for TPU V8t on HBM3E as Google purchases the memory device on its own.

FIGURE 8: ESTIMATED MEMORY CONTENT IN GOOGLE'S TPU V8 SUPERPOD

Key components	TPU V8i	TPU V8t
TPU tray	4x	4x
HBM density	8x36GB HBM3E	6x36GB GBM3E
CPU tray (Axion2 CPU)	2x	2x
DRAM (5600)	768GB	768GB
No of trays per rack	8	16
No of rack per SuperPod	36	150
Total TPU	1,152	9,600
Total CPU	576	4,800
Total HBM3E density per Pod	332TB	2,093TB or 2.1PB
Total DRAM density per Pod	442TB	3,686TB or 3.7PB
Total memory budget in 2H26 ¹	\$11.6mn/\$14.1mn ²	\$87.7mn
Total memory budget in 2027 ¹	\$20.1mn/\$24.4mn ²	\$150.3mn

1 - using \$15/GB for both HBM3E and server DRAM in 2H26 and \$26 in 2027

2 - factor in AVGO's 50% margin on HBM3E

Source: Google, Aletheia/TAG

NVDA's NVL SuperPod

The analysis on NVDA's SuperPod is more challenging, as it consists of five different types of racks, each serving a different purpose and workload. The entire structure includes 40 racks as shown in the next figure. In this study, we focus on the VR NVL72 rack, Vera CPU rack and BF4 STX storage rack as the networking rack does not require memory while the LPX rack is not ready for commercialization any time soon. For the first three racks, we estimate the overall memory costs to be \$28-30mn (using current memory prices) with the breakdown shown below:

- 332TB of HBM4 worth \$6mn [*\$9-10mn in 2027*];
- 1,036TB of SoCAAM/LPDDR5X worth \$15-16mn [*\$20-21mn in 2027*] and
- 18.4PB of local eSSD (TLC NAND) worth of \$7-8mn [*\$13-14mn in 2027*];

But with the anticipated rise in memory prices in 2027, we estimate the budget will balloon to \$43-45mn. We should note that should NVDA maintain its 75% gross margin, the 'market value' of these memories would be worth \$180mn for each SuperPod! As such, it is not unreasonable to conclude the 'double-charging' on memory devices in NVDA's hardware will supercharge its rapid revenue growth (considering memory content now constitute well over half of the BOM in its AI hardware system).

It is also worth noting that the above analysis does not include the scalable eSSD in the BF4 STX storage rack, as NVDA's clients are responsible to procure such memory themselves. The storage could include both SLC- and TLC-based eSSD (or a mixture of two) depending on workloads and applications. The former is related to the ultra-fast SLC, low latency and super long endurance NAND such as Kioxia's XL-Flash, which is currently being sampled to clients. Pricing for such purpose-built SLC NAND Flash has not been determined at the moment, but early indicator from industry survey shows that it could be 6-10x of today's mainstream eSSD.

FIGURE 9: DETAILS OF nVIDIA's NVL SUPERPOD STRUCTURE AND MEMORY CONTENT

Devices	VR NVL72 rack [18+9+2 trays]	Vera CPU rack [32 trays]	Groq LPX rack [32 trays]	BF4 ³ STX (storage) rack [16 trays]	Spectrum-6 SPX (networking) rack [4 trays]
GPU	72x	-	-	-	-
CPU	36x	256x	64x	32x	-
BF4 DPU	18x	-	-	64x	-
LPU	-	-	256x	-	-
NVLink	18x	-	-	-	-
SP6	-	-	-	-	16x
Density (GB)	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
HBM	20,736	-	-	-	-
SoCAAM/DRAM	29,952 ²	196,608 ²	1,024 ²	20,544 ²	-
eSSD	1,152,000 ⁴	-	-	1,152,000 ⁴	-
SRAM	100 ¹	131 ¹	147	18 ¹	3 ¹
NVL SuperPod	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
No of racks	16x	2x	10x	8x	4x
Total Density (TB)	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
HBM	332	-	-	-	-
DRAM	479	393	10	164	-
SSD	18,432	-	-	9,216	-
SRAM	1.59 ¹	0.26 ¹	1.48	0.15 ¹	0.10 ¹

1- embedded SRAM (L1-L3) in logic/ASIC. The memory content value does not include this segment.

2-assume 768GB of SoCAAM/DRAM for VR and Vera racks, 386GB for BF4 STX storage rack and 16GB for LPX rack (the CPU can be x86 or Vera).

3-BF4 DSP uses the same compute core as Grace CPU.

4-assume local eSSD is based on TLC NAND in VR NVL72 rack and scalable eSSD in STX rack uses SLC based NAND

Source: nVidia (March 2026 GTC Taiwan) and Aletheia/TAG

Financial highlights and valuation

Preview of 3Q26 results, 4Q26 outlook and CY27E estimates

MU is set to report on 24 June after market. We forecast 3QE (February) revenue of \$36-37bn, up nearly 4x YoY, EPS of \$21.1, up almost 11-fold YoY, and gross margin of 81-82%. The top-end of guidance for both revenue and EPS are \$34.3bn and \$19.55, respectively.

For 4QE (August), we look for revenue of \$46-48bn or higher, up over 4x YoY, EPS of \$28-30bn, up nearly 10x YoY, and gross margin of 84-85%. During the period, we believe MU will benefit from the 50% ASP uplift in memory prices in 2QCY26, followed by a further 30% and 40% increase in DRAM and NAND pricing in 3QCY26.

For FY26E, we estimate EPS of \$67-68, up nearly 8x. We also forecast revenue to top \$120bn, up over 3x. In calendar 2026, we forecast sales of \$162bn, up 3.8x, with EPS growing over 8x to \$96.2 (10-15% above the current consensus estimates).

For CY27E, we now expect revenue to grow ~70% YoY and EPS to expand at a similar rate. We note that MU's HBM revenue is likely to outpace other products, as we expect prices of HBM to more than double YoY in CY2027. Coupled with ongoing TSV capacity expansion (70-80% YoY), we estimate MU's HBM revenue to reach \$46-50bn in CY2027E, compared to \$14-15bn in CY2026E. We note that MU is likely to experience a 'step-up' function of HBM revenue starting in 2QFY27 (February 2027), as the annual HBM adjustment is likely to take place in this period. And the momentum may accelerate further, as the mix of HBM4 rise in CY2027 and HBM4E in the later part of CY2027 for new GPU/ASIC platforms.

However, this is based on the assumption that the profit margin of HBM devices would match (or at least approach) that of server DRAM, otherwise there is less incentive for MU to produce more HBMs. This is especially crucial for MU as its new physical cleanroom will not be operational until 1HCY27, with output starting in 2HCY27.

Expansion plan and capex

We forecast MU to embark on \$200bn worth of capacity expansion in the next several years (our capex forecast is \$150bn+ from FY26-28E); we list all the announced projects below. Nevertheless, MU is unlikely to benefit from new supply until mid-to-2HCY27, as many of the new wafer fabs are still being built and the supply of semiconductor equipment is being stretched due to strong demand across the board.

The incremental new supplies are likely to come from its ID1 fab in Boise, which it has pulled-in HVM in 1H27, and possibly its fab in Miaoli (Taiwan), which it has newly acquired from PSMC. This fab's cleanroom is ready and in fact PSMC has equipped a small amount of capacity in the site. The deal is expected conclude in C2Q26, and MU is expected to have move-in tools as soon as in C3Q26, subject to the availability of equipment. Still, our revised model does not assume any meaningful bit DRAM output until mid-C2027. Beyond that, MU could benefit from new supplies from ID2 in Boise, P2 in Miaoli, and P2 in Hiroshima from 2028 onward. The brand-new campus in New York State will not be operational before 2030.

For 3D NAND, we estimate MU is likely to hike capacity utilisation rate at its Singapore fab to 100% starting in C2Q26. After that MU will have to rely heavily on a technology upgrade (276 layers on G9 from 232L on G8) to increase the bit supply in 2026/27. Beyond that, the newly announced 3D NAND will enter HBM in mid-2028 with likely G10 330 layers of 3D NAND.

FIGURE 10: MICRON'S GLOBAL CAPACITY EXPANSION

DRAM	Location	Status	Capacity	Initiation outputs	Investment
Fab11	Taiwan (Taoyuan)	Fully ramped	120K	-	-
Fab16	Taiwan (Taichung)	Fully ramped	130K	-	-
TBC	Taiwan (Miaoli*)	Acquisition	30K ¹	2H27	\$1.8bn ³
Fab15	Japan (Hiroshima)	Fully ramped	100K	-	-
TBC	Japan (Hiroshima)	Construction	120K ¹	1H28	-
Fab 4	Boise	HQ/R&D	-	-	-
Fab 6	Virginia	Fully ramp	25K	-	-
ID1/2	Boise	Construction	200K ¹	Mid-27	\$25bn
TBC	New York ²	Construction	TBC	-	\$100bn
NAND	Location	Status	Capacity	Initiation outputs	Investment
Fab10	Singapore	Fully ramped	120K	-	-
TBD	Singapore	Construction	200K ¹	Mid-28	\$24bn
TSV HBM	Location	Status	Capacity	Initiation outputs	Investment
Fab5	Taiwan (Taoyuan)	Ramping	120K	-	-
TBD	Singapore	Construction	200K	Late-26	\$10bn

1- designed capacity. 2- likely to be a mixture of DRAM, NAND and possible TSV packaging for HBM. 3 - \$1.8bn is the acquisition cost. The cost to fully equip the 30,000-wpm expansion is estimated to be \$5bn. In addition, the site can accommodate 100k wpm of capacity, which could bring the total cost to \$20bn.
Source: Micron, Aletheia/TAG

Cashflow and potential capital returns

The table below illustrates the significant change in MU's cash flow generation. We forecast the company to generate \$350-400bn of FCF in the FY26E-28E period, even after factoring in the \$150bn of capital investment. And even with the \$11bn of debt reduction since the beginning of FY26E and a modest capital return, we foresee its net cash position to pile up rapidly. This net cash could account for 11% of market cap in FY27E and further rise to 23% in FY28E.

This leaves MU with ample financial flexibility to conduct a more aggressive capital returns program in the not-too-distant future. We note that because MU has accepted billions in direct federal funding under the US CHIPS Act to build its upcoming domestic mega-fabs, the company is subject to strict government supervision. These federal agreements mandate a 2-year restriction on large-scale stock buybacks following the receipt of funds. Consequently, MU is legally constrained from launching an aggressive, multi-billion-dollar share retirement program until December 2026 or FY2027.

Stripping out the cash, the stock is trading at sub-5x FY27-28E PER. On P/FCF multiple, it is trading at an undemanding sub-7x multiple; this could be even lower with a more aggressive buyback program in the not-too-distant future.

FIGURE 11: SELECTIVE FINANCIAL PARAMETERS AND VALUATION METRICS

FYE August (USD bn)	FY25A	FY26E	FY27E	FY28E
OPN cash flow	17.5	78.9	179.6	230.7
Capex	15.9	28.3	50.0	60.0
FCF	1.7	50.6	135.9	178.5
Current capital return	0.5	11.0	14.8	18.9
Net cash	-4.9	32.7	145.9	295.9
FCF yield	0.1%	4.0%	10.7%	14.0%
Net cash % mkt cap	nm	2.6%	11.5%	23.2%
PER-ex net cash	nm	14.6x	5.7x	3.8x
PER-headline	nm	14.2x	5.5x	3.6x
P/FCF per share	nm	23.0x	8.6x	6.0x

Source: Aletheia/TAG

Valuation

Our revised target price of \$1,600 is based on 10x CY27E PER, as we shift our valuation framework from historical peak P/B (\$650) to PER. This re-rating reflects our constructive view on sustained AI demand and the surge in memory content across AI hardware systems, resulting in memory vendors' rapid revenue growth and, critically, robust FCF generation—universally considered by investors as real earnings.

The figure below illustrates the significant shift of content value in hardware systems from CY2025 to CY2027E in favour of memory devices. In general, the percentage of memory chips accounted for less than half of the BOM for AI module or board in C2025; this rises to 60-70% in CY2026 and is expected to further increase to over 70% in CY2027. In some cases where memory usage is intense, such as Vera CPU and MI455X, the memory content should reach 70% in 2H26. Not surprisingly, purpose-built memory storage such as BF4 STX Storage could see memory content go up to over 90%.

We should note that ASP hike is not the only reason for the rising content value; the spec upgrade and density are equally critical. For example, the Rubin Ultra to be released in 2HCY27 is expected to see its HBM density to increase to 768GB, up 2.7x from Rubin at 288GB. Bandwidth is likely to jump 50% (up to 4.1TB/s) and speed to improve by a third (up to 16Gbps). In the case of MI500X, we expect the HBM density to increase by 78% in 2HCY27 (768GB of HBM4E) compared to the current generation of 432GB of HBM4. We assume most of HBM4E will come with 12Hi rather than 16Hi, as the stacking technology for the latter has yet to achieve commercialization stage.

FIGURE 12: THE RISE OF CONTENT VALUE OF MEMORY DEVICES IN AI HARDWARE SYSTEMS

	GB300 Bianca 2H25	VR Strate ¹ 2H26	VR Strata ² 2H26	VR200 ² 1H27	VR Next 2H27	Vera CPU tray 2H26	BF4 STX Storage tray 2H26	TPU V8i 2H26	MI455X 2H26
ASP	\$70,000	\$150,000	\$130,000	\$130,000	\$356,000	\$275,000 ⁵	\$337,000 ⁶	-	\$45,000 ⁷
BOM	~\$14,500	~\$37,500	~\$27,500	~\$35,000	~\$89,000	~\$68,500 ⁵	~\$32,500 ⁶	~\$23,250	~\$23,500 ⁷
Estimated breakdown of BOM (%)									
Memory	47%	74%	64%	69%	76%	73%	94% ⁵	74%	74%
Logic	35%	16%	22%	20%	15%	22%	4%	16%	16%
Others ³	17%	10%	14%	11%	9%	5%	1%	9%	10%
ASP	2H25	2H26	2H26	1H27	2H27	2H26	1H27	2H26	2H26
1GB HBM ⁴	\$13-14 (3E)	\$18-19 (4)	\$18-19 (4)	\$32-34 (4)	\$40-42 (4E)	-	\$2.5-3 (SLC)	\$14 (3E)	\$18-19 (4)
1GB DRAM	\$5-6	\$15-16	\$15-16	\$20-21	\$26-27	\$15-16	\$15-16	\$16	\$15-16

1- Represents the peak SOCAAM density of 1.5TB of SoCAAM density. 2- Represents the 768GB SOCAAM density. 3- Others include MLCC, PMIC, ABF substrate etc.

4- HBM4E density per die is 4GB (48GB per stack) while the rest is 3GB (36GB per stack). 5- Assume 386GB of SoCAAM density

6- The ASP includes 75% GM of BF4 DPU board (BOM of \$32,500) and \$200,000 worth of 1.2PB of SLC Flash (Kioxia's XL-Flash). The 94% memory content include SoCAAM & SLC Flash.

7- These are normalized ASPs and BOM per single MI455X GPU unit

Source: Aletheia/TAG

FIGURE 13: KEY FINANCIALS OF MAJOR AI HARDWARE SUPPLIERS

	Market cap	Revenue		Net profit		FCF	
(USD bn)	as of 12 June	FY1	FY2	FY1	FY2	FY1	FY2
NVDA (FYE Jan)	\$4.97tn	\$391bn	\$584bn	\$208bn	\$313bn	\$158bn	\$173bn
AVGO (FYE Oct)	\$1.82tn	\$195bn	\$226bn	\$104bn	\$128bn	\$96bn	\$117bn
TSMC-ADR (FYE Dec)	\$2.20tn	\$163bn	\$206bn	\$81bn	\$104bn	\$55bn	\$72bn
Micron (FYE Aug)	\$1.17tn	\$253bn	\$325bn	\$177bn	\$227bn	\$128bn	\$183bn
SK Hynix (FYE Dec)	\$1.02tn	\$234bn	\$394bn	\$161bn	\$256bn	\$113bn	\$212bn

Source: Aletheia/TAG

Figure 12 shows the market cap and key financial metrics of memory suppliers SK Hynix and Micron relative to their peers in the AI supply chain. We think the closest comparison is TSMC, which shares a similar business model with these two companies, as all three are capital-intensive, require a large pool of highly experienced technical staff, and operate with long lead times to market. The rapid rise in memory content value is likely to result in both SK Hynix and Micron overtaking TSMC in revenue by CY2027. In fact, we project that SK Hynix's sales will be 40–50% higher than TSMC's in CY2026. This marks a sharp turnaround, as both SK Hynix and Micron were only about half the size of TSMC in CY2025.

Critically, both companies have been improving their cash flow generation, as shown in the figure below, and are likely to generate meaningfully higher FCF and FCF margins than TSMC in the future, driven by stronger profitability as well as the potential prepayments associated with LTA deals. This is best illustrated by SNDK's recent results, in which it posted a record-high 50% operating cash flow margin, rising sharply from 0% in the same period a year ago and 33% in the previous quarter. We expect prepayments under LTA deals to begin in 2HCY26.

Surprisingly, all three capex intensive chipmakers posted stronger operating cash flow margin than their fabless peers such as NVDA and AVGO. NVDA's rather volatile OPN CF margin may be due to its massive supply chain procurement commitment as well as generous payment terms extended to many of its neo-cloud customers. AVGO, on the other hand, has reported a consistent and stable cash flow margin although it is the lowest among the peer group.

The improving cash flow/FCF generation of both SK Hynix and Micron is likely to result in both companies returning more excess capital to shareholders (their current return policy is minuscule relative to their cash flow generation). As such, it is not unreasonable to assume that the market capitalization of both SK Hynix and Micron could match that of TSMC (or more double from their current level) given the rising memory content value and cash flow/FCF generation, which is widely considered as 'real earnings'.

FIGURE 14: CASH FLOW MARGIN OF MAJOR AI HARDWARE SUPPLIERS

	OPN CF margin						FCF margin					
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	CY25	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	CY25
NVDA	62%	33%	42%	53%	62%	48%	59%	29%	39%	51%	60%	45%
AVGO	44%	45%	43%	43%	47%	44%	43%	44%	42%	41%	46%	42%
TSMC	77%	55%	45%	71%	64%	62%	38%	23%	16%	37%	33%	28%
Micron	48%	49%	50%	62%	50%	53%	-1%	18%	1%	22%	23%	11%
SK Hynix	44%	55%	59%	63%	50%	53%	13%	29%	38%	27%	35%	28%

Source: Aletheia/TAG

FIGURE 15: VALUATION MATRIC OF KEY AI PLAYERS

	Market cap	PER (x)		PBR (x)		EV/EBITDA (x)		FCF yield	Net cash/ Mkt. cap
	as of 12 June	FY1	FY2	FY1	FY2	FY1	FY2	FY2	FY2
NVDA (FYE Jan)	\$4.97tn	23.8x	15.6x	17.8x	9.1x	19.0x	12.3x	3.5%	3.6%
AVGO (FYE Oct)	\$1.82tn	18.1x	14.8x	12.8x	8.4x	13.9x	9.4x	9.9%	9.1%
TSMC-ADR (FYE Dec)	\$2.20tn	26.1x	19.5x	8.0x	6.0x	15.3x	11.2x	3.4%	5.6%
Micron (FYE Aug)	\$1.17tn	6.3x	4.9x	4.0x	2.3x	4.4x	2.9x	12.2%	16.7%
SK Hynix (FYE Dec)	\$1.02tn	6.4x	4.0x	4.4x	2.1x	4.5x	2.2x	21.7%	27.4%

Source: Aletheia/TAG

Earnings Model (non-GAAP)

FYE Aug	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27	Nov-27	Feb-28	May-28	Aug-28	Aug-23	Aug-24	Aug-25	Aug-26	Aug-27	Aug-28
Sales mix, US\$ bn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Cloud	5.3	7.7	11.1	14.8	17.0	22.4	24.7	27.5	30.6	33.0	36.7	39.5	1.9	3.8	13.5	38.9	91.6	139.8
- HBM	2.1	2.5	3.1	3.5	4.6	9.4	11.0	13.0	15.3	17.0	19.7	21.6	0.0	0.4	5.3	11.2	38.0	73.6
Core Data Center	2.4	5.7	8.8	12.3	14.2	14.9	15.6	16.4	17.3	18.1	19.0	20.0	2.1	5.0	7.2	29.2	61.2	74.4
Mobile & Client	4.3	7.7	12.0	15.0	17.2	18.1	19.0	20.0	20.2	20.4	20.6	20.8	7.4	11.7	11.9	38.9	74.3	81.8
Automotive & Embedded	1.7	2.7	4.2	5.3	6.1	6.4	6.7	7.0	7.1	7.1	7.2	7.3	4.1	4.6	4.8	13.9	26.1	28.7
Total	13.6	23.9	36.1	47.4	54.5	61.8	66.0	70.9	75.1	78.7	83.5	87.5	15.5	25.1	37.4	120.9	253.2	324.7
Revenue mix																		
Cloud	39%	32%	31%	31%	31%	36%	37%	39%	41%	42%	44%	45%	12%	15%	36%	32%	36%	43%
- HBM	15%	11%	9%	7%	8%	15%	17%	18%	20%	22%	24%	25%	0%	2%	14%	9%	15%	23%
Core Data Center	17%	24%	24%	26%	26%	24%	24%	23%	23%	23%	23%	23%	14%	20%	19%	24%	24%	23%
Mobile & Client	31%	32%	33%	32%	32%	29%	29%	28%	27%	26%	25%	24%	48%	46%	32%	32%	29%	25%
Automotive & Embedded	13%	11%	12%	11%	11%	10%	10%	10%	9%	9%	9%	8%	27%	18%	13%	11%	10%	9%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
P&L, (US\$ bn, non-GAAP)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	13.6	23.9	36.1	47.4	54.5	61.8	66.0	70.9	75.1	78.7	83.5	87.5	15.5	25.1	37.4	120.9	253.2	324.7
COGS	5.9	6.0	6.6	7.3	8.3	9.5	10.3	11.1	11.6	12.2	13.1	13.8	16.7	19.2	22.1	25.8	39.2	50.6
Gross profit	7.8	17.9	29.5	40.1	46.2	52.2	55.8	59.8	63.5	66.5	70.4	73.8	-1.2	5.9	15.3	95.2	214.0	274.1
OPEX	1.3	1.4	1.4	1.5	1.6	1.8	1.9	2.1	2.2	2.3	2.4	2.5	3.6	4.0	4.4	5.7	7.3	9.4
OP profit	6.4	16.5	28.0	38.6	44.6	50.5	53.9	57.7	61.3	64.2	68.0	71.3	-4.8	1.9	10.8	89.5	206.6	264.8
Non-OP	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.1	-0.1	-0.1	0.2	0.1	0.1
PTI	6.5	16.5	28.1	38.6	44.6	50.5	53.9	57.8	61.3	64.2	68.0	71.3	-4.7	1.9	10.8	89.6	206.7	264.9
Tax	-1.0	-2.5	-4.0	-5.6	-6.4	-7.3	-7.8	-8.3	-8.9	-9.3	-9.8	-10.3	-0.1	-0.4	-1.3	-13.1	-29.8	-38.2
Net profit	5.5	14.0	24.0	33.0	38.2	43.2	46.1	49.4	52.5	55.0	58.2	61.0	-4.9	1.5	9.5	76.6	176.9	226.6
FD EPS, non-GAAP	4.78	12.20	21.19	29.13	33.70	38.13	40.68	43.61	46.45	48.64	51.50	53.97	-4.45	1.27	8.29	67.30	156.11	200.55
FD EPS, GAAP	4.60	12.07	21.06	29.05	33.64	38.10	40.67	43.61	46.47	48.68	51.56	54.05	-5.34	0.70	7.59	66.78	156.03	200.75
Profitability	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	56.8%	74.9%	81.7%	84.6%	84.8%	84.6%	84.5%	84.3%	84.6%	84.5%	84.4%	84.3%	-7.7%	23.7%	40.9%	78.7%	84.5%	84.4%
OPN margin	47.0%	69.0%	77.7%	81.4%	81.9%	81.7%	81.6%	81.4%	81.6%	81.6%	81.5%	81.4%	-31.0%	7.7%	29.0%	74.0%	81.6%	81.5%
PTI margin	47.3%	69.3%	77.8%	81.5%	81.9%	81.7%	81.6%	81.5%	81.7%	81.6%	81.5%	81.5%	-30.4%	7.4%	28.9%	74.1%	81.7%	81.6%
Net margin	40.2%	58.8%	66.6%	69.7%	70.1%	70.0%	69.8%	69.7%	69.9%	69.9%	69.7%	69.7%	-31.3%	5.9%	25.3%	63.3%	69.9%	69.8%
QoQ chg.	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E					FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	21%	75%	51%	31%	15%	13%	7%	7%	6%	5%	6%	5%	-	-	-	-	-	-
Gross profit	50%	131%	65%	36%	15%	13%	7%	7%	6%	5%	6%	5%	-	-	-	-	-	-
OPN profit	62%	156%	70%	38%	16%	13%	7%	7%	6%	5%	6%	5%	-	-	-	-	-	-
PTI	64%	156%	70%	38%	16%	13%	7%	7%	6%	5%	6%	5%	-	-	-	-	-	-
Net profit	58%	156%	71%	37%	16%	13%	7%	7%	6%	5%	6%	5%	-	-	-	-	-	-
YoY change	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	57%	196%	288%	319%	299%	159%	83%	50%	38%	27%	26%	23%	-49%	62%	49%	224%	109%	28%
Gross profit	125%	486%	714%	675%	496%	192%	89%	49%	37%	27%	26%	23%	nm	nm	157%	523%	125%	28%
OPN profit	168%	720%	1026%	875%	595%	207%	92%	50%	37%	27%	26%	23%	nm	nm	461%	725%	131%	28%
PTI	173%	727%	1028%	879%	591%	206%	92%	50%	37%	27%	26%	23%	nm	nm	483%	730%	131%	28%
Net profit	169%	686%	1002%	852%	597%	208%	92%	50%	37%	27%	26%	23%	nm	nm	543%	708%	131%	28%
FD EPS, non-GAAP	167%	682%	1010%	861%	605%	213%	92%	50%	38%	28%	27%	24%	nm	nm	553%	712%	132%	28%
FD EPS, GAAP	175%	756%	1154%	926%	631%	216%	93%	50%	38%	28%	27%	24%	nm	nm	991%	780%	134%	29%

Source: Micron, Aletheia/TAG

Micron Technology

How Much (Memory) is Truly Enough?



Financial Statement

INCOME STATEMENT

FYE Aug (US\$ bn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	30.8	15.5	25.1	37.4	120.9	253.2	324.7
COGS	(16.9)	(17.0)	(19.5)	(22.5)	(26.2)	(39.7)	(51.1)
Gross profit	13.9	(1.4)	5.6	14.9	94.7	213.5	273.7
Operating expense	(4.2)	(4.3)	(4.3)	(5.1)	(6.4)	(8.1)	(10.1)
EBITDA	17.4	2.9	9.7	19.2	99.3	219.3	280.5
Operating profit	9.7	(5.7)	1.3	9.8	88.3	205.5	263.6
Interest expense (income)	(0.1)	0.1	(0.0)	0.0	0.4	0.5	0.5
Other expense (income)	(0.0)	0.0	(0.0)	(0.1)	(0.4)	(0.4)	(0.4)
Profit before tax	9.6	(5.7)	1.2	9.7	88.3	205.6	263.7
Tax	(0.9)	(0.2)	(0.5)	(1.1)	(12.8)	(29.8)	(38.2)
Net profit	8.7	(5.8)	0.8	8.5	75.5	175.8	225.4
EPS \$, GAAP	7.74	-5.34	0.70	7.59	66.78	156.03	200.75
EPS, non GAAP	8.34	-4.45	1.27	8.29	67.30	156.11	200.55
Change YoY							
Revenue	11%	-49%	62%	49%	224%	109%	28%
Gross profit	33%	nm	nm	165%	537%	125%	28%
Operating profit	54%	nm	nm	649%	803%	133%	28%
Net profit	48%	nm	nm	998%	784%	133%	28%
EPS	51%	nm	nm	991%	780%	134%	29%

CASH FLOW

FYE Aug (US\$ bn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit	8.7	(5.8)	0.8	8.5	75.5	175.8	225.4
Dep. & amortization	7.1	7.8	7.8	8.4	9.9	12.7	15.7
Chg in WC	(0.0)	(2.1)	(0.3)	(0.2)	(8.9)	(17.0)	(6.7)
Others	(0.6)	1.8	0.2	0.8	0.0	0.0	0.0
OPN cash flow	15.2	1.6	8.5	17.5	76.5	171.4	234.5
Capex	(12.1)	(7.7)	(8.4)	(15.9)	(28.3)	(50.0)	(60.0)
Chg in acquisition	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Others	0.5	1.5	0.1	1.8	(2.0)	(1.5)	(2.0)
Investing CF	(11.6)	(6.2)	(8.3)	(14.1)	(30.2)	(51.5)	(62.0)
Chg in debt	(0.0)	6.0	(0.9)	(0.2)	(3.5)	(3.5)	(3.5)
Equity	(2.4)	(0.4)	(0.3)	0.0	(9.8)	(12.3)	(14.8)
Dividend paid	(0.5)	(0.5)	(0.5)	(0.5)	(1.3)	(2.6)	(3.9)
Others	(0.1)	(0.0)	(0.1)	(0.1)	0.0	0.0	0.0
Financing CF	(3.0)	5.0	(1.8)	(0.9)	(14.5)	(18.3)	(22.2)
FX & other adj	(0.1)	(0.0)	0.1	0.0	0.0	0.0	0.0
Chg in cash	0.5	0.3	(1.5)	2.6	31.7	101.6	150.3
Beginning cash	7.8	8.3	8.6	7.0	9.6	41.3	142.9
End cash	8.3	8.6	7.0	9.6	41.3	142.9	293.2
FCF	3.1	(6.1)	0.1	1.7	48.2	128.0	182.6

Source: Micron, Aletheia/TAG

BALANCE SHEET

FYE Aug (US\$ bn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Cash/ST investment	9.3	9.6	8.1	10.3	42.3	144.4	295.4
Inventory	6.7	8.4	8.9	8.4	8.7	12.2	14.6
Receivable	5.1	2.4	6.6	9.3	18.6	37.5	46.4
Current assets	21.8	21.2	24.4	28.8	70.6	195.1	357.3
Fixed assets	38.5	37.9	39.7	46.6	65.0	102.3	146.6
Goodwill & intangibles	1.6	1.6	1.6	1.8	1.8	1.8	1.8
Other LT assets	4.4	3.5	3.7	5.6	7.2	8.2	9.5
LT assets	44.5	43.0	45.0	54.0	74.0	112.3	157.9
Total assets	66.3	64.3	69.4	82.8	144.6	307.4	515.2
Payable	6.1	4.0	7.3	9.6	10.5	15.9	20.4
Other liability	1.4	0.8	1.9	1.8	1.8	1.8	1.8
Current liabilities	7.5	4.8	9.2	11.5	12.3	17.7	22.2
LT liabilities	8.8	15.4	15.0	17.2	13.7	10.2	6.7
Total liabilities	16.4	20.1	24.3	28.6	26.0	27.8	28.9
Common shares	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Retained earnings	47.3	40.8	40.9	48.6	122.8	296.0	517.5
Equity	49.9	44.1	45.1	54.2	118.6	279.5	486.3
Liability&Equity	66.3	64.3	69.4	82.8	144.6	307.4	515.2

RATIO & PER SHARE DATA

FYE Aug (US\$)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin (%)	45.2	-9.1	22.4	39.8	78.3	84.3	84.3
EBITDA margin (%)	56.6	18.9	38.7	51.4	82.1	86.6	86.4
Op. Profit margin (%)	31.5	-37.0	5.2	26.1	73.0	81.2	81.2
Net Profit margin (%)	28.2	-37.5	3.1	22.8	62.4	69.4	69.4
ROE (%)	18.5	-12.4	1.7	17.2	87.4	88.3	58.9
ROA (%)	13.9	-8.9	1.2	11.2	66.4	77.8	54.8
Gross gearing (%)	24.7	31.3	35.0	34.6	18.0	9.1	5.6
Net gearing (%)	-2.7	10.8	14.1	9.1	-25.5	-48.4	-59.5
Asset turn (x)	0.5	0.2	0.4	0.5	1.1	1.1	0.8
Leverage (x)	1.3	1.4	1.5	1.5	1.3	1.1	1.1
Payable days	124	108	105	137	146	146	146
Receivable days	62	89	66	78	56	54	52
Inventory days	121	162	162	140	122	112	104
EPS, GAAP	7.7	-5.3	0.7	7.6	66.8	156.0	200.8
BVPS	44.5	40.4	40.4	48.1	105.2	248.2	433.0
Net cash per share	1.2	-4.3	-5.7	-4.4	26.8	120.2	257.5
SPS	27.4	14.2	22.5	33.2	107.3	224.8	289.2
FCFPS	2.8	-5.6	0.1	1.5	42.8	113.6	162.6
DPS	0.3	0.5	0.5	0.5	1.0	2.0	3.0

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